PRIORITY 8 OF 33 · SCORE 3.5

Treasury (IRS)

Treasury holds the largest single fraud-prone payment outside health care: refundable tax credits paid through the IRS. The Earned Income Tax Credit alone had $21.1B in improper payments in FY2025, and the pandemic Employee Retention Credit drew billions in fraudulent claims. Taxpayer data are confidential, so public work has to start from geography, preparers and promoters rather than individual returns. The payoff is large, but this is a proposal-first agency.

INVESTIGATIONS WE PROPOSE

- **TREAS-1** EITC and ACTC hot spots by ZIP from IRS SOI data. **First prototype.**
- **TREAS-2** ERC and EITC promoter networks from charged cases.
- **TREAS-3** PPP borrowers in ERC cases, to size double dipping.

EXPOSURE

- EITC: $21.1B improper (32.7%). Additional Child Tax Credit: 13.6% rate. American Opportunity Tax Credit: 30.7%. Premium Tax Credit: 31.6%. (GAO, FY2025)
- Employee Retention Credit: IRS Criminal Investigation had opened 545 ERC cases involving more than $5.6B by February 2025, out of 2,039 COVID fraud investigations totaling $10B.
- Fiscal Service disburses most federal payments and runs Do Not Pay, which makes it the natural home for any cross-agency screen.

PUBLIC DATA WE USE

- **IRS Statistics of Income (SOI) ZIP code data:** EITC and refundable credit counts and dollars by ZIP, by year.
- **IRS Return Preparer data and enforcement releases:** preparer injunctions and DOJ Tax Division cases name preparers and promoters.
- **PPP loan-level data (SBA):** employer names, addresses and jobs reported, which can be set against public ERC promoter cases.
- **IRS-CI and DOJ press releases** as labeled examples.

SCORECARD

Fraud savings identified
● Pending

Phase 1 window
Weeks 10–13
Jan 18, 2027 to Feb 12, 2027

Workstream
Aggregate screens and access cases

FY2026 outlays
$1.97T · budget rank 2

Leads go to
IRS-CI, TIGTA, Payment Integrity

WHY PRIORITY 8

Exposure	●●●●●
Public data	●●○○○
SBA method fit	●●●○○
Actionability	●●●●○

HOW WE DETECT IT

1. **Credit hot spots:** ZIP codes where EITC or ACTC claim rates jump far above what income and household data predict, flagged for preparer review.
2. **Promoter networks:** link charged ERC and EITC promoters to the businesses, addresses and preparers that recur across cases.
3. **Pandemic overlap:** businesses with PPP loans that also appear in ERC cases, to estimate double dipping and find similar unreviewed firms.

FIRST PROTOTYPE

An EITC hot-spot map from SOI ZIP data, with a ranked list of anomalous areas and the known preparer cases inside them. Validate against DOJ preparer injunctions.

OUR REVIEW, DELIVERED WEEK 13

EITC and Additional Child Tax Credit hot-spot model from IRS SOI ZIP data (tax years 2015-2023) against ACS income and household predictors; overlay DOJ Tax Division preparer injunctions and IRS-CI cases; link ERC promoter cases to PPP borrowers to size likely double dipping. Deliver the hot-spot map and an IRS data-access proposal in week 13.

Every lead goes to an Inspector General or DOJ as a referral package with sources and caveats. Nothing is published.

WHAT WE ASK OF TREASURY

Phase 2 data: Returns, preparer PTINs on returns, ERC claims, payment files.

What it enables: Preparer-level EITC scoring; ERC claim screening; bank account reuse.

Access route: IRS (6103 limits, see below); TIGTA.

LIMITS

Returns, preparer identifiers on returns, and ERC claims are confidential (26 U.S.C. 6103). Public data can only point to places and promoters; return level scoring needs an IRS partnership.

SOURCES

- GAO-26-108694: FY2025 improper payments
- IRS-CI: 2,039 COVID fraud investigations, 545 ERC cases (March 2025)
- CRFB: FY2025 improper payments by program
- USAspending agency profiles (FY2026 outlays)

Scores and plans are our judgment from public sources. Risk indicators are leads for Inspectors General or DOJ, not accusations.

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